

EBA aligns Pillar 3 framework with EU green agenda

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The European Banking Authority (EBA), the EU's banking regulatory body, has published final draft Implementing Technical Standards (ITS) that overhaul its Pillar 3 disclosure framework, significantly reducing the ESG reporting burden on institutions while extending requirements to smaller banks for the first time.

The updated standards amend existing ESG risk disclosure requirements and introduce new obligations covering equity and shadow banking exposures, completing the implementation of disclosure requirements introduced under the Capital Requirements Regulation (CRR 3). Large institutions will be required to disclose 37% fewer datapoints than under current rules, while medium-sized institutions face a 17% reduction. Small and Non-Complex Institutions (SNCIs) will disclose 84% fewer datapoints than large institutions, with the EBA committing to centrally pre-fill and publish ESG information on their behalf via the Pillar 3 Data Hub.



The ITS adopt a “core plus supplement” structure, calibrated to each institution’s size and complexity. Taxonomy-related disclosures, previously required for large institutions, will be discontinued under the revised framework. The standards have also incorporated recommendations from the Joint Bank Reporting Committee on semantic integration to support more joined-up reporting across institutions.

The EBA has aligned the ITS with the European Sustainability Reporting Standards (ESRS) under the Corporate Sustainability Reporting Directive (CSRD), enabling institutions to cross-reference Pillar 3 disclosures within their ESRS public reporting and avoid duplication across frameworks. The authority noted the ITS should be read alongside its separately published consultation paper on ESG supervisory reporting requirements to ensure a full understanding of the broader ESG framework.

The package was developed in line with the EU’s broader simplification agenda and Omnibus package, with the EBA stating its intention to work closely with the European Commission to further strengthen alignment with ESRS as the adoption process progresses. The EBA will also develop a Data Point Model and XBRL taxonomy required for submissions to the Pillar 3 Data Hub, and plans to publish an updated mapping tool in 2026 linking Pillar 3 disclosures with supervisory reporting.

The ITS are expected to take effect with a reference date of 31 December 2026, with SNCIs subject to a later application date of 31 December 2027, pending any further adjustments arising from the European Commission’s ongoing work.

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